

Halcyon Dynamics Employee Handbook

Version 4.1, effective 1 January 2026. Owner: People Operations (Elena Marchetti-Roy).

1. Welcome and Purpose

Welcome to Halcyon Dynamics, Inc. Founded in 2014 and headquartered at 4400 Ridgeway Boulevard in Meridian Falls, Colorado, Halcyon designs and manufactures autonomous industrial inspection drones, including the Aurora X200 platform, and the Halcyon Insight analytics software that turns inspection data into maintenance decisions. As of January 2026 the company employs just over 500 people across Meridian Falls, our Rotterdam field office and a growing remote workforce.

This handbook summarises the policies that apply to all regular employees. It is not an employment contract. Where local law provides a more generous entitlement than this handbook, local law applies. Questions about anything in this document should go to People Operations at people@halcyon-dynamics.example or to your manager.

Several policies referenced here are maintained as standalone documents. In particular, the Information Security Policy (document HD-SEC-001) governs passwords, multi-factor authentication, device management and data handling, and takes precedence over the summary in section 11 of this handbook.

2. Employment Basics

The standard full-time schedule is 40 hours per week. Teams set their own working patterns, but all employees are expected to be available during core hours of 10:00 to 15:00 in their local time zone so that meetings can be scheduled reliably across Colorado and the Netherlands.

New employees complete a 90-day introductory period. During this period either party may end the employment relationship with one week of notice. Successful completion of the introductory period is confirmed in writing by the hiring manager and People Operations.

Employees are classified as either exempt or non-exempt for overtime purposes in line with applicable law. Non-exempt employees must record all hours worked in the Timekeeper application and receive overtime pay at 1.5 times their regular rate for hours above 40 in a work week. Overtime must be approved by a manager in advance.

Payroll runs semi-monthly on the 15th and the last business day of each month. Pay statements are available in the Workday portal on the morning of each pay date.

3. Paid Time Off

Halcyon provides paid time off (PTO) for vacation and personal needs. PTO accrues monthly and the annual accrual rate depends on tenure with the company:

? Less than 2 years of service: 15 days per year (1.25 days per month).

? 2 to 5 years of service: 20 days per year (1.67 days per month).

? More than 5 years of service: 25 days per year (2.08 days per month).

The higher accrual rate takes effect on the first day of the month following the employee's second or fifth anniversary. Part-time employees accrue PTO on a pro-rata basis according to their scheduled hours.

Up to 5 unused PTO days may be carried over into the following calendar year and must be used by 31 March of that year; any remaining carried-over days are forfeited unless local law requires otherwise. PTO is paid out on termination where required by law or where an employee gives the full notice period described in section 12.

Requests for 5 or more consecutive PTO days should be submitted in Workday at least 3 weeks in advance. Shorter absences require 2 business days of notice where practical. Managers approve requests based on business needs and aim to respond within 3 business days. PTO cannot be taken in advance of accrual except by written approval of a director.

4. Sick Leave

All employees receive 10 paid sick days per calendar year, available from the first day of employment and separate from the PTO balance. Sick leave may be used for the employee's own illness, medical appointments, or to care for an immediate family member. Unused sick days do not carry over and are not paid out.

A medical certificate is required for any absence longer than 3 consecutive working days. Extended illness beyond the 10 paid days is handled under the short-term disability plan, which pays 66 percent of base salary for up to 26 weeks after a 7-day waiting period. Please notify your manager before the start of your shift, or as soon as reasonably possible, on each day of absence.

5. Parental Leave

Halcyon offers paid parental leave to employees who have completed 6 months of continuous service. Birthing parents receive 16 weeks of fully paid leave. Non-birthing parents, including adoptive and foster parents, receive 8 weeks of fully paid leave. Leave may be taken in one block or in two separate blocks within 12 months of the birth or placement.

Employees returning from parental leave may request a phased return of up to 4 weeks at 80 percent of scheduled hours with full pay. Requests for parental leave should be submitted to People Operations at least 8 weeks before the expected start date where possible. Health insurance and PTO accrual continue during paid parental leave.

6. Remote and Hybrid Work

Halcyon operates a hybrid model. Employees whose roles allow it may work remotely for up to 3 days per week. Tuesday and Thursday are company-wide anchor days on which employees within 50 miles of an office are expected to work on site. Manufacturing, flight-test and laboratory roles are on-site roles by nature and follow their team schedules.

To support home working, Halcyon pays a one-time home office stipend of 750 US dollars after the introductory period, plus a connectivity allowance of 60 US dollars per month, paid through payroll. The stipend may be used for a desk, chair, monitor or similar equipment; the equipment belongs to the employee.

Fully remote arrangements (fewer than 2 office days per week) require approval from the relevant vice president and People Operations, and are reviewed annually. Working from another country is permitted for a maximum of 30 calendar days per year and must be registered in advance because of tax and export-control rules. Company data may only be accessed from managed devices as described in HD-SEC-001.

7. Expense Reimbursement

Halcyon reimburses reasonable, pre-approved business expenses. Claims are submitted through the Ledgerline expense tool within 30 days of the expense being incurred; claims older than 60 days are not reimbursed without CFO approval. Reimbursement is paid with the next payroll run after manager approval.

? Receipts are required for every expense over 25 US dollars. Below that amount a description is sufficient.

? Meal per diem while travelling is 75 US dollars per day for domestic travel and 110 US dollars per day for international travel, with no receipts needed.

? Personal vehicle mileage is reimbursed at 0.67 US dollars per mile.

? Trips with an expected cost above 500 US dollars must be booked through the Skyline corporate travel desk using a corporate card.

? Economy class is standard for flights under 6 hours; premium economy may be booked for longer flights.

? Alcohol is not reimbursable except during approved client dinners authorised in advance by a director.

Lodging is reimbursed at actual cost up to 220 US dollars per night in the United States and 240 US dollars per night internationally, unless a conference hotel rate is higher. Fraudulent claims are grounds for immediate termination.

8. Company Holidays

Halcyon observes 11 paid company holidays each year, plus 2 floating holidays that each employee may schedule with manager approval. The 2026 company holidays are:

- ? New Year's Day: Thursday 1 January 2026.
- ? Martin Luther King Jr. Day: Monday 19 January 2026.
- ? Presidents' Day: Monday 16 February 2026.
- ? Memorial Day: Monday 25 May 2026.
- ? Juneteenth: Friday 19 June 2026.
- ? Independence Day (observed): Friday 3 July 2026.
- ? Labor Day: Monday 7 September 2026.
- ? Thanksgiving Day: Thursday 26 November 2026.
- ? Day after Thanksgiving: Friday 27 November 2026.
- ? Christmas Eve: Thursday 24 December 2026.
- ? Christmas Day: Friday 25 December 2026.

Employees in the Rotterdam office observe Dutch public holidays instead of the United States list, giving 10 fixed holidays plus the same 2 floating days. Employees required to work on a company holiday receive an alternative day off within 30 days.

9. Performance Reviews

Halcyon runs two formal performance review cycles each year, in April and October. Each cycle includes a self-assessment, peer feedback from at least 3 colleagues and a written manager assessment. Performance is rated on a 4-point scale: Exceptional, Strong, Developing and Below Expectations.

In addition to the formal cycles, managers hold quarterly check-ins focused on goals and career development. Merit-based salary adjustments are decided after the April cycle and take effect on 1 May. Promotions may be proposed in either cycle. Employees rated Below Expectations receive a written 60-day improvement plan.

10. Code of Conduct

Halcyon expects every employee to act with integrity and respect. Harassment, discrimination and retaliation are prohibited. Concerns may be raised with any manager, with People Operations, or anonymously through the Speak-Up line at extension 4400 or speakup@halcyon-dynamics.example, which is monitored by the Legal department.

Employees must avoid conflicts of interest and disclose any outside business activity involving customers, suppliers or competitors. Gifts or hospitality worth more than 100 US dollars from any single business partner in a calendar year must be declared in the Gifts Register maintained by Legal. Cash gifts of any value are not accepted.

Because Halcyon products are subject to export-control regulations, employees must complete the annual trade-compliance training and must never share technical data with unapproved parties. Violations of the Code of Conduct may lead to disciplinary action up to and including termination.

11. IT Equipment and Acceptable Use

Every employee receives a company-managed laptop on their first day. The standard issue is a 14-inch business laptop with 32 GB of memory; engineers may request a 16-inch workstation model. Laptops are refreshed every 36 months or earlier if they fail. Company equipment must be returned when employment ends.

Multi-factor authentication is mandatory for every company system, including email, the VPN and all cloud services, as required by section 4 of the Information Security Policy HD-SEC-001. Personal phones may be used for email and chat only after enrolment in mobile device management, as described in the BYOD section of the same policy.

Lost or stolen equipment must be reported to the IT Service Desk within 24 hours at extension 4500 or servicedesk@halcyon-dynamics.example so the device can be locked and wiped remotely. Incidental personal use of company devices is permitted, but employees should have no expectation of privacy on company systems, which are monitored for security purposes.

12. Resignation and Offboarding

Employees who decide to leave Halcyon are asked to give written notice to their manager and People Operations. The expected notice period is 2 weeks for individual contributors and 4 weeks for managers, directors and above. Halcyon may choose to waive part of the notice period while paying the employee through the notice date.

During offboarding the employee returns all company equipment and badges within 5 business days of the last working day, completes a knowledge-transfer document and is invited to an exit interview with People Operations. Final pay, including any PTO payout required by law or policy, is issued on the next regular payroll date. Access to company systems is removed at the end of the last working day.

13. Compensation and Benefits

Salaries are set within published bands for each job level. Bands are reviewed every January against market data, and employees can see their own band in Workday. All regular employees participate in the annual bonus plan, with a target of 10 percent of base salary for individual contributors and 20 percent for directors and above, paid in March based on company and individual performance for the prior year.

Halcyon pays 90 percent of the medical, dental and vision premium for employees and 75 percent for dependants. The company matches 401(k) contributions dollar for dollar up to 4 percent of salary with immediate vesting. Additional benefits include company-paid life insurance at twice annual salary, an employee stock purchase plan with a 15 percent discount and a wellness allowance of 400 US dollars per year.

14. Learning and Development

Every employee has an annual learning budget of 1,500 US dollars for courses, books and certifications, plus up to 3 paid conference days per year. Requests are approved by the manager in Workday. Halcyon also runs the internal Flight School programme, a 6-week course that trains any employee to plan and supervise an Aurora X200 inspection mission.

Tuition reimbursement of up to 5,000 US dollars per year is available for degree programmes related to the employee's role, subject to a grade of B or better and a 12-month retention agreement signed before the course starts.

15. Workplace Safety and Flight Test Rules

Safety is everyone's responsibility. Report all injuries and near misses to the Safety Officer within 24 hours through the Safety Log. Safety glasses and closed shoes are required on the production floor, and hearing protection is required within 10 m of a running motor test stand.

Flight testing takes place only at the fenced Meridian Falls test range. A minimum of 2 people must be present for every test flight, one acting as remote pilot in command and one as visual observer. Test flights are prohibited when sustained wind exceeds 14 m/s, matching the Aurora X200 operating limit, or when visibility is below 3 statute miles. Every flight is logged in the FlightLog system before the batteries are removed.

16. Amendments and Acknowledgement

Halcyon reviews this handbook every January and may amend it at any time with 30 days of notice through the company intranet. Version 4.1 supersedes version 4.0 dated 1 January 2025; the main changes are the increase of the non-birthing parental leave from 6 to 8 weeks and the new 30-day limit on working from abroad.

All employees are required to acknowledge receipt of this handbook electronically in Workday within 14 days of their start date and within 14 days of each new version being published.